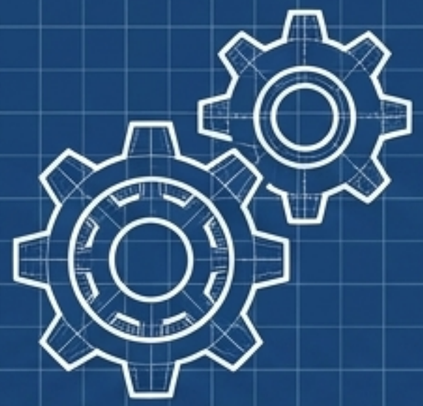


THE ANATOMY OF A GLOBAL CRISIS

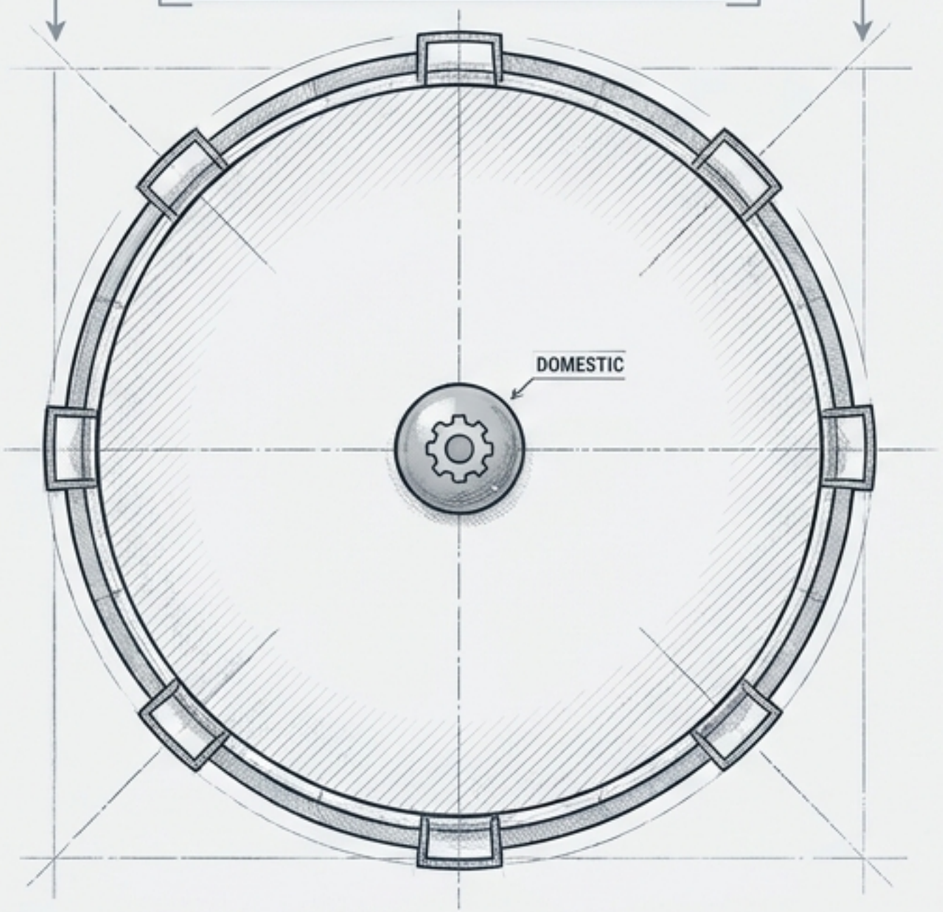
A System Dynamics Breakdown of Worldwide Inflation

Synthesized from the 1974 American Enterprise Institute & Hoover Institution Conference on Worldwide Inflation.

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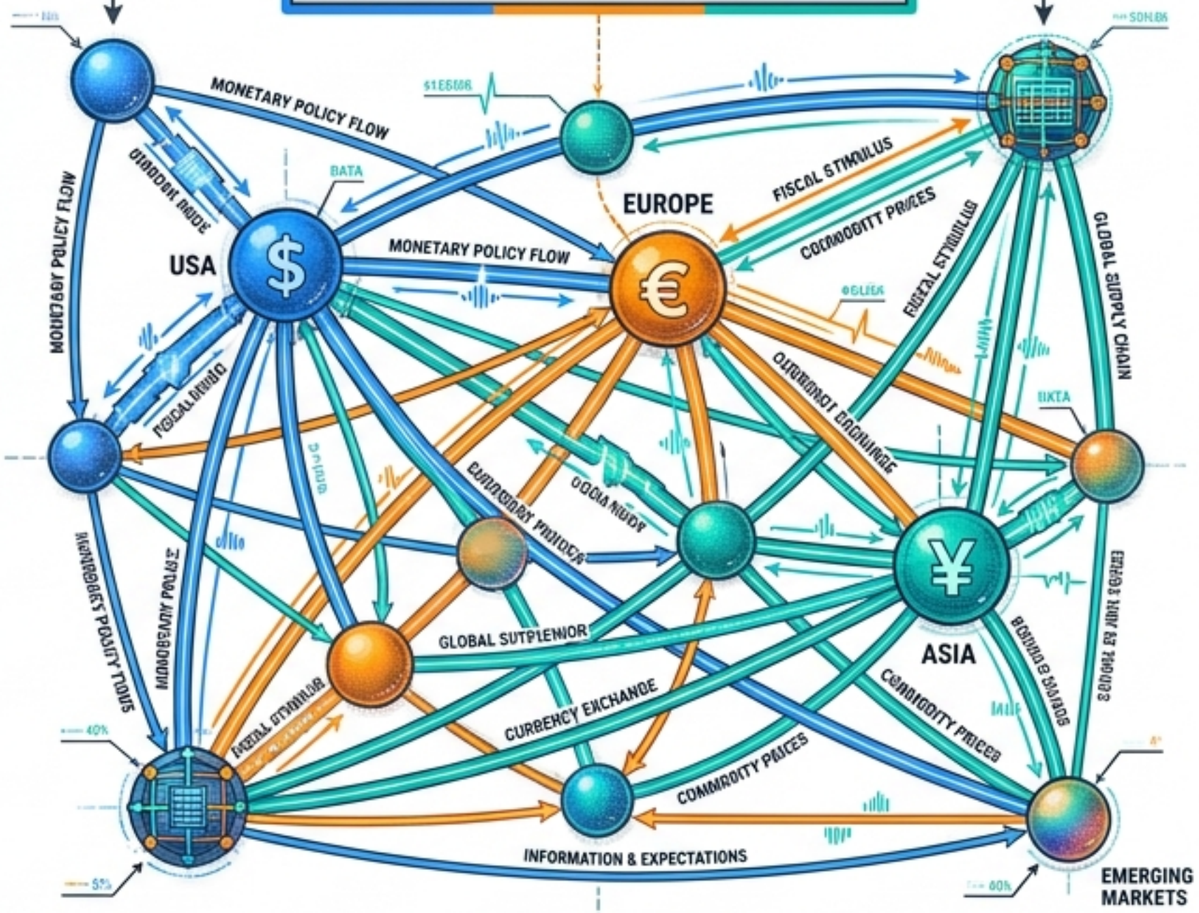
THE CLOSED-ECONOMY FALLACY

THE TRADITIONAL VIEW



Economists and policy makers historically treated inflation as a purely domestic phenomenon, prescribing local cures (cost-push, structuralist, incomes policies) without regard for international counterparts.

THE INTEGRATED WORLD



By the early 1970s, the world economy had synchronized. Inflation was "flown in from outer space" (Haberler), defying domestic cures. The 1974 AEI/Hoover conference convened to diagnose this interdependent crisis.

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The Diagnostic Matrix: Competing Theories of 1970s Inflation

The Monetarists (Meiselman/Haberler)	The Fiscalists (Duesenberry)	The Internationalists (Mundell/Laffer)	The Institutionalists (Stein)
Root Cause: Excess global money supply relative to output.	**Root Cause**: Overstimulated aggregate demand & Vietnam War spending.	**Root Cause**: Fully integrated global markets.	**Root Cause**: Political pressure & collective self-delusion.
Transmission: Fixed exchange rates & reserve accumulation.	**Transmission**: Raw material demand & downward wage/price rigidity.	**Transmission**: Arbitrage, direct price effects, & unregulated Eurodollars.	**Transmission**: Government error and public demand for spending without taxation.

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The Fuel: The Monetarist Equation

$$P' = a + bM' + c(Y/P)'$$

P' (Inflation): The mean annual rate of inflation.

M' (Money Supply): Mean annual money-supply growth.

Data point: From 1971-1973, money increased 55.8% in the 9 major OECD countries outside the US.

(Y/P)' (Real Output): Mean annual real-income growth.

Insight: Because income velocity (M2) has been virtually constant since 1960, inflation stems primarily from M' outpacing Y.

"There is no important episode of inflation... that contradicts the general proposition that changes in the price level stem primarily from changes in the nominal stock of money per unit of output." – Meiselman

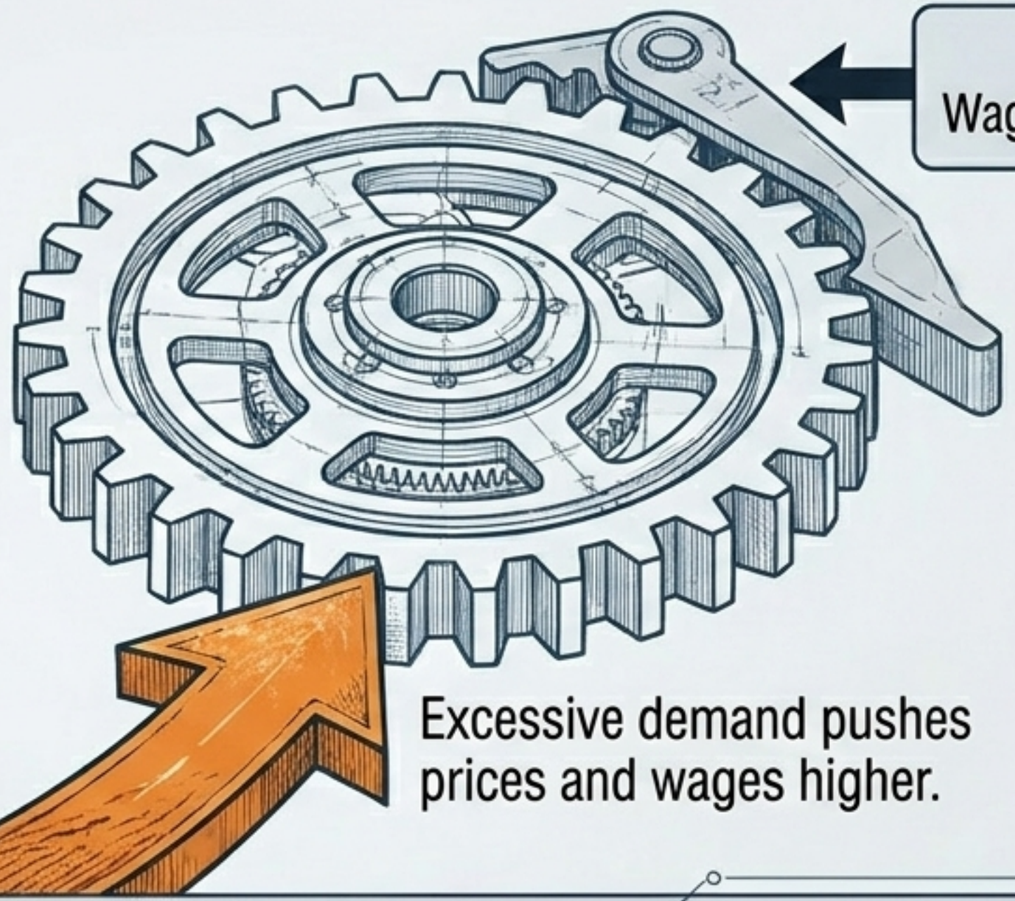
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The Spark: Vietnam & The Fiscalist Ratchet

The 1966 Trigger

Pre-1966, the US was not a major source of global inflation.

The escalation of the Vietnam War and reluctance to allow a severe recession transformed the US into the primary catalyst for aggregate demand.



Downward Wage/Price Rigidity.

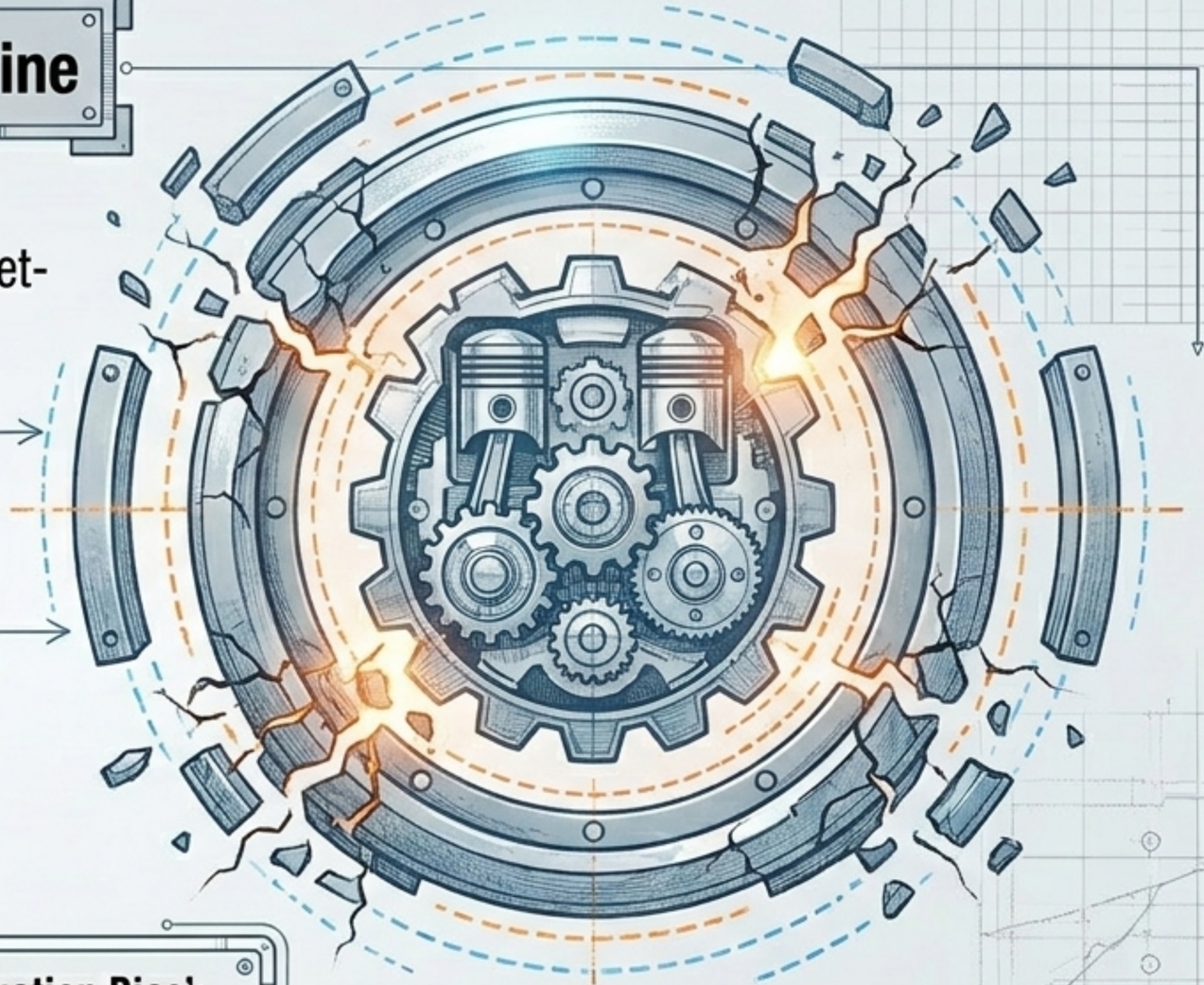
Excessive demand pushes prices and wages higher.

Prices easily ‘click’ upward during demand shocks but lock into place. Because wages are almost totally rigid downward, recessions reduce output rather than prices, creating a permanent inflationary bias.

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The Amplifier: The Bretton Woods Engine

Under the Bretton Woods system, currencies were pegged to the US Dollar, removing independent monetary control from foreign central banks.



1. The Gold Constraint Fails:
The weakening (and 1971 elimination) of the gold window allowed the US to run massive deficits without immediate domestic penalty.

2. Forced Monetization:
To maintain fixed exchange rates, surplus countries were forced to excess US dollars, expanding their own domestic monetary bases.

3. The 'Devaluation Bias':
Countries were quick to devalue but reluctant to revalue upward, structurally embedding inflation.

"The Bretton Woods system had become an engine of inflation." (Meiselman)

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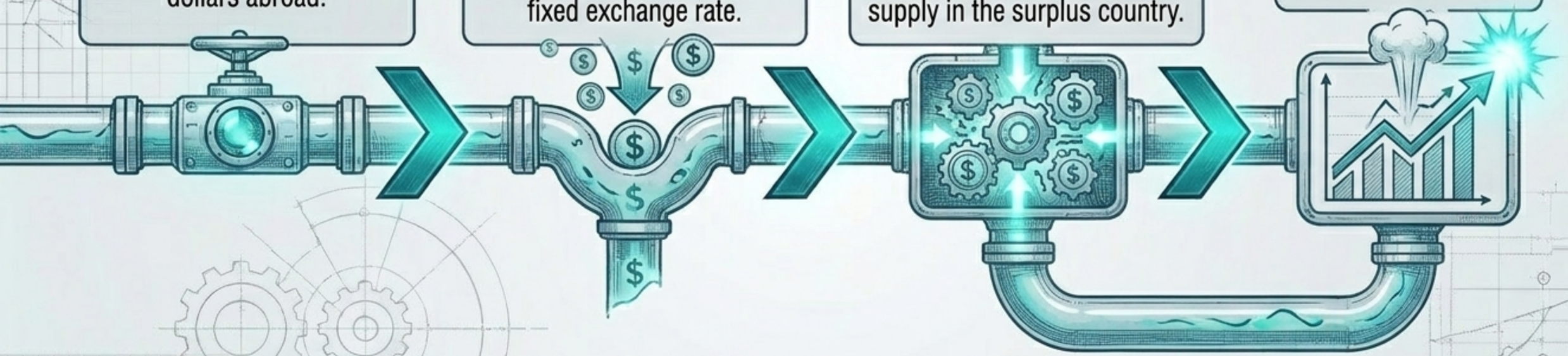
Transmission Mechanism 1: The Balance of Payments Pipeline

US Deficit (The Source)
The US runs a balance-of-payments deficit, exporting dollars abroad.

Reserve Accumulation
Foreign central banks are forced to purchase the inflow of dollars to maintain the fixed exchange rate.

Money Expansion
The accumulated foreign reserves directly expand the domestic high-powered money supply in the surplus country.

Price Pull
The newly created domestic money pulls up local prices.



"During the single year 1971, foreign monetary authorities added more dollars to their official reserves than in all of human history up to that time." – Yeager

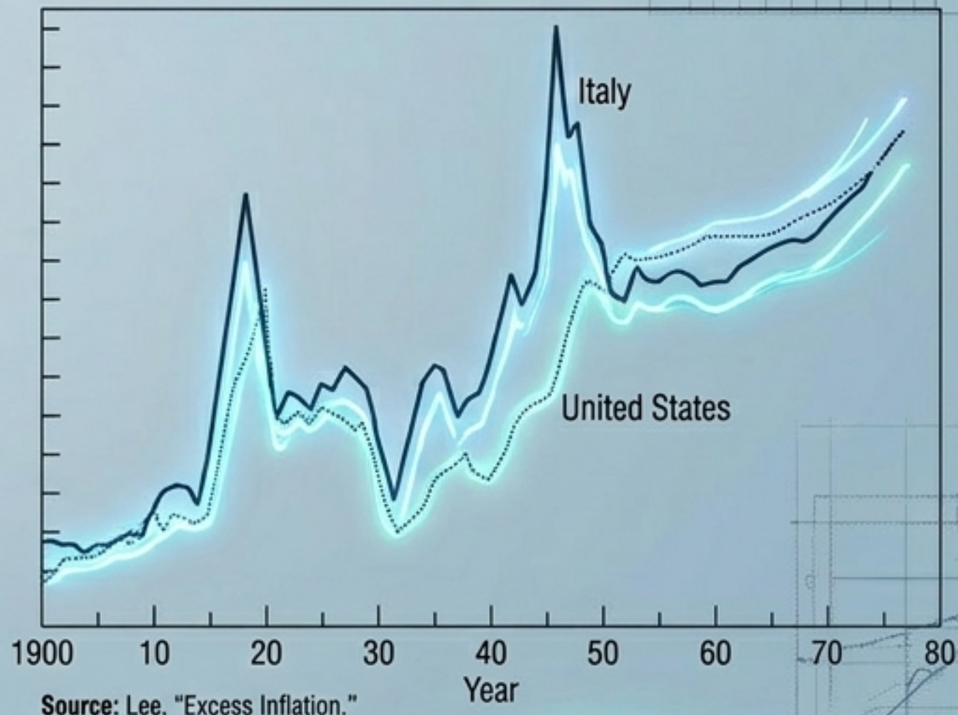
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Transmission Mechanism 2: The Direct Price Effect



Figure 9

ITALY: WHOLESALE PRICE INDEX CONVERTED TO U.S. DOLLARS, ANNUAL, 1900–1972



Source: Lee, "Excess Inflation."

The Law of One Price: Prices of traded goods are kept in line across countries by international competition and arbitrage.

Instant Diffusion: No prior inflow of central bank reserves is required. If world prices rise, domestic prices rise instantaneously.

The Laffer/Lee Finding: 70% of a country's inflation rate can be explained by two variables: the US rate of inflation + changes in the country's exchange rate with the dollar.

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System Accelerants: Shadow Money & Politics





The Eurodollar Market (Mundell)

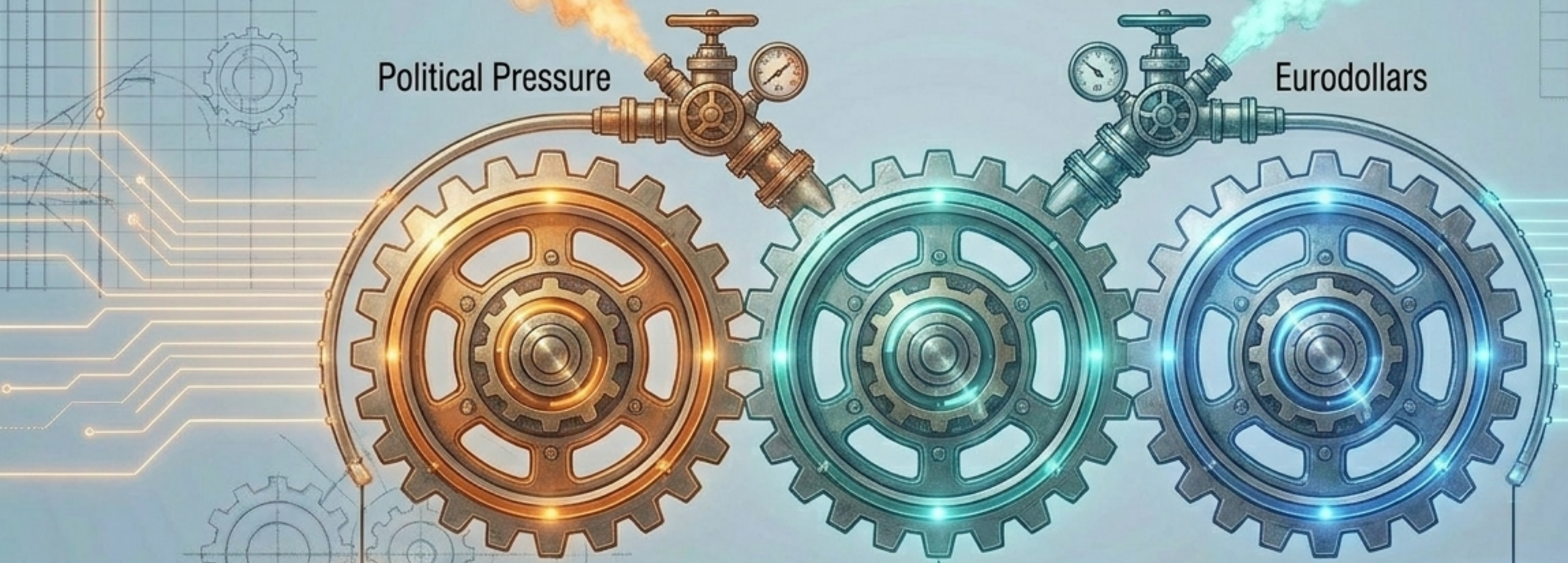
The uncontrolled, rapid expansion of Eurocurrencies and foreign demand deposits operated entirely outside national regulatory limits, creating a massive, untracked global money supply.

Collective Self-Delusion (Stein/Dam)

The political process generated inflation through conflicting public desires: a demand for massive government spending (space exploration, defense, social programs) combined with an aversion to taxation and unemployment, leading to inevitable deficit monetization.

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Synthesis: The Anatomy of the Global Engine



The US Catalyst

Driven by Vietnam spending and downward price rigidity. Pushes excess dollars outward.

The Transmission Belt

The Bretton Woods fixed-rate system and direct trade arbitrage transfer the pressure across borders.

Global Monetization

Foreign central banks are forced to expand their money supplies, accelerating worldwide inflation.

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The Paradigm Shift: Managing International Inflation

Fixed Exchange Rates (Bretton Woods)

The Engine of Contagion

- Exports domestic inflation to surplus countries.
- Forces foreign monetization of US deficits.
- Enables massive, one-way speculation against pegged currencies.
- No country can enjoy price stability if the world inflates.

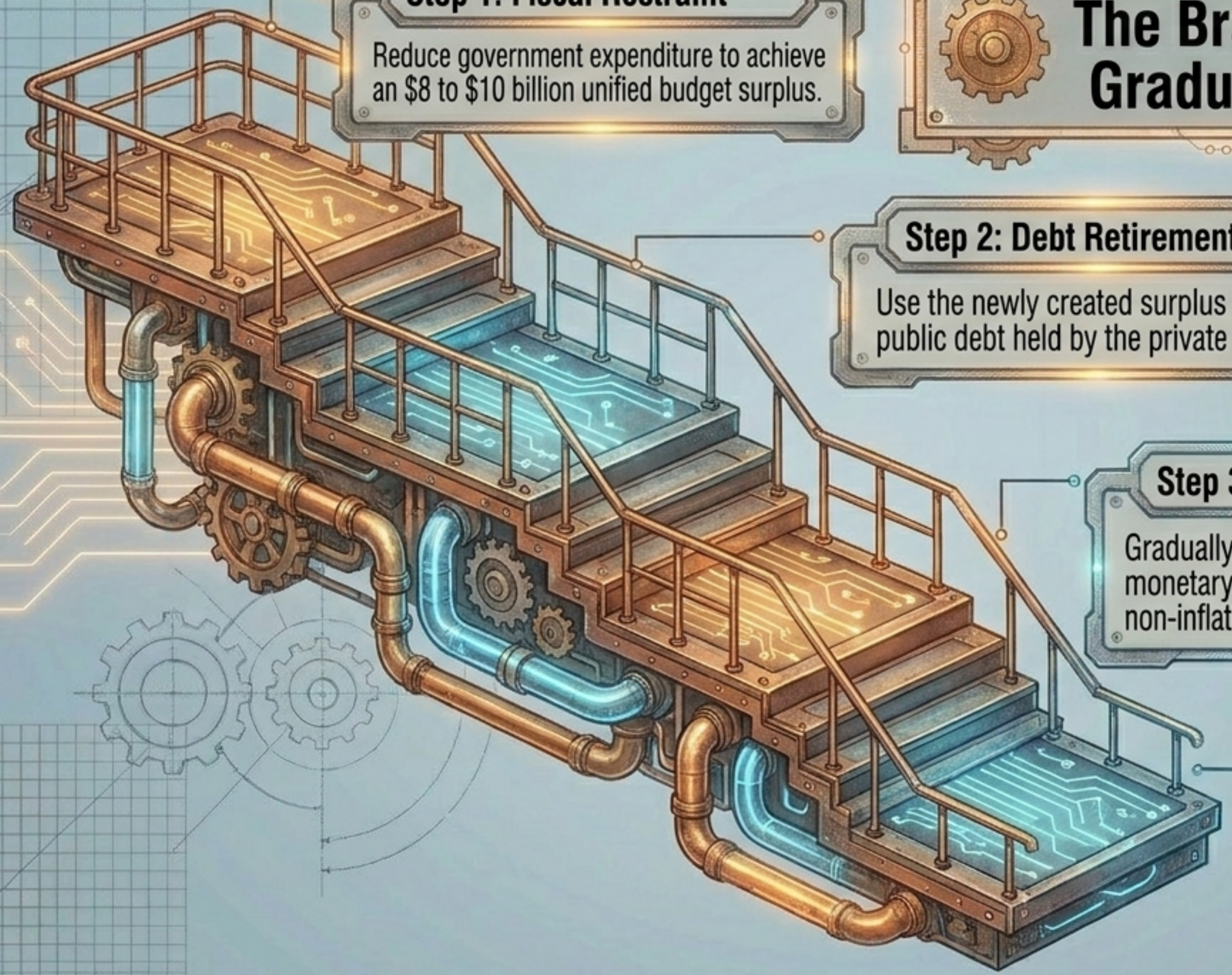
Floating Exchange Rates (Post-1973)

The Quarantine Mechanism

- Isolates inflation to the originating country.
- Restores independent control over domestic money supply.
- Eliminates the need to accumulate foreign reserves.
- Forces domestic political accountability.

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The Brakes: Meltzer's Gradualist Staircase



Step 1: Fiscal Restraint

Reduce government expenditure to achieve an $8 to $10 billion unified budget surplus.

Step 2: Debt Retirement

Use the newly created surplus to retire public debt held by the private sector.

Step 3: Monetary Deceleration

Gradually and steadily reduce the rate of monetary expansion from 6% down to a non-inflationary 3-4% over two to three years.

Step 4: Market Autonomy

Maintain the floating exchange rate system with zero intervention by the Federal Reserve.

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The Final Diagnosis

"Inflation is an international phenomenon, but it can be stopped only by national policies. The main responsibility clearly lies with the largest countries. They have no excuse of being forced by others to inflate."

– Gottfried Haberler

Floating exchange rates provide the shield, but only domestic monetary restraint provides the cure.

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